

Final project: Financial system comparison

Instructions:

1. This is a group project. You are expected to complete this final project with 3 to 5 team members. In particular, your writing should be using professional English language.
2. Submissions must be sent electronically to both the instructor's and the TA's email addresses before the specified due date and time. I will drop 50% of the points if you hand it in the day after its due date. Later submissions will not receive any credit.
3. The length of your writing piece should not exceed the strict 10-page limit (12-point font, double spaced, including any tables and charts). You may add one more page if necessary for displaying the reference list if you have any. Feel free to choose any reference style but make sure the reference list is consistently formatted.
4. Your response and results should be clearly, logically, and thoroughly presented. Avoid showing too much details and citing examples. Your clarity of constructing your arguments and the quality of your execution are the most important points for grading.

You need to draw (with TA) one sector or one field of China's financial system covered in this course (see appendix), and compare Chinese financial system with US and HK financial system, in terms of as many as possible dimensions, such products, regulations, development directions, etc.

Questions.

- (1) Choose a financial markets reform proposal for China, and evaluate it.
- (2) How would you change the PBOC, CSRC, CBIRC or other regulatory agencies? Why?
- (3) Compare financial regulation with financial regulation in another area (US, HK). What are the relative strengths and weaknesses of each? How have they performed?
- (4) How would you reform a financial regulation in China? Why?
- (5) What reforms would you propose to make Chinese capital markets more efficient and safer?

Deadline: January 14, 23:59 (Beijing time)

Appendix: Sectors of China's financial system

- 1) Central bank
- 2) Money Market
- 3) Bond Market
- 4) Stock Market
- 5) VCPE Market
- 6) Derivatives Market
- 7) Foreign Exchange Market
- 8) Commercial Bank
- 9) Non-Bank Financial intermediaries (Securities, Insurance, Fund, Trust, Others)
- 10) Foreign financial institutes
- 11) Real estate market